

the share of the container loading ecosystem in the overall rail traffic.

NEED TO DIVERSIFY

There has been a growing concern, even within the railways, over over-dependence on coal in the freight basket and the need for diversification of commodities. Though coal's share is expected to remain high currently due to India's dependence on the fuel for meeting power demand, it would gradually reduce as the country transitions to non-fossil fuels to meet energy needs.

"In the UK, Germany and the US, coal was a major portion of freight for railways some years back. This is like what we see in India now. However, today, in the UK, it (coal) is almost close to nil, in Germany, it is 5-10%. It is declining in the US also. Railways globally have taken measures to ensure that they do not lose the total cargo despite the reduction in the share of coal in the total cargo," Lalit Chandra Trivedi, former general manager, of East Central Railway, tells *BT*. He points out that there is no plan in India for this transition and the level of containerisation which was expected hasn't happened yet. "The total contribution of containerised traffic in the loading of Indian railways is hardly 5% and whatever container movement is taking place is basically for the air transport business. No domestic cargo moving is by the rail-bound container," he says. Indian Railways believes that to increase its freight share, it needs to significantly increase container traffic. And the Dedicated Freight Corridor (DFC) was expected to play a huge role in addressing this.

DFC ON SLOW TRACK

The eastern and western DFCs have been constructed at a cumulative cost of over ₹94,000 crore to develop 2,843 km of running capacity to expedite the freight movement. However, delays in the project completion, especially in connecting the Jawaharlal Nehru Port Trust (JPNT) with the western DFC, have hindered the railways from reaping the full potential of the infrastructure. The overall DFC network is envisioned to span 8,500 km along the Golden Quadrilateral Network (GQN) of the railways for seamless and faster freight movement. The GQN accounts for

CUMULATIVE FREIGHT LOADING

- Coal accounts for 50% of the rail freight basket, with growth of 7.4% in FY25
- Cement, iron, food grains recorded negative growth as the players opted for trucks over rail

Commodity	Loading FY25 (MT)	Loading in FY24 (MT)	Growth (%)
Coal	723.8	673.8	7.4
Iron ore	178.1	180.9	-1.5
Imported coal	98.9	113.7	-13
Cement	86.7	91.6	-5.3
Pig iron and finished steel	67.9	69.8	-2.7
Container EXIM	64	64.4	-0.4
Clinker	62.6	62.6	0
Fertilizers	59.9	59.1	1.2
Mineral oil	50.8	50.5	0.6
Food grains	49.7	51.4	-3.2
Balance other goods	120.4	122.1	-1.4
Container domestic	24.7	20.6	19.7

SOURCE RAILWAYS/INDUSTRIES

approximately 16% of the total length of the rail network but handles 58% of its freight traffic. Five DFCs along the GQN were commissioned, of which only two are partly operational, namely the Western DFC and the Eastern DFC. The remaining corridors are still in the development stage and need to be expedited.

Whether the Indian Railways reclaim market share from road logistics in the coming years would depend on how quickly innovative measures are put in place to turn around its freight business. **BT**

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